

This sounds like ivory tower stuff, but this mechanism of the economy affects our everyday lives and impacts a first home buyer's prospects. When the cash rate declines, people with money in the bank – like your parents – will look for something 'non-cash' with a higher return; that often means bricks and mortar, or the share market. What this means is that when the cash rate dips, the housing market can become more competitive; investors enter the market, pricing out first-timers with their financial firepower.

Per annum

In the context of home loan rates, this means 'per year'. When you see four per cent per annum (or 'p.a.', as it's sometimes referred to in bank brochures and posters), that means you pay four per cent of your remaining principal in interest each year.

Principal

The amount you borrow from the bank, which reduces as you make mortgage payments.

Stamp duty

A tax that is paid to the government, by the purchaser, when a property is sold and its ownership transferred. Think of it as a pesky admin fee. The amount differs between the different states and territories.

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Picking up the newspaper's business pages to read leisurely over your morning bowl of Weet-Bix might seem barely palatable. But if you are keen to keep track of what some of our most accomplished economists and finance commentators have to say, and I encourage doing so, I recommend following these gurus on Twitter because they love good graphs and share understandable, up-to-the-minute money insights in up to 280 characters.

People

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